

TOP BANKS BY MARKET CAP

➤ **HDFC Bank, ICICI Bank, and SBI rank among the Top 5 most valued firms based on market cap in the study period** ➤ **The major banks reported double-digit growth in profit after tax for FY24 YoY**

Company	2024/2023 Rank	Average Market Cap*	NII	PAT	ROE (%)	P/B Multiple
HDFC Bank	3/3	11,84,856 (22)	1,29,510 (39)	65,447 (42)	17.6	3
ICICI Bank	4/4	7,64,289 (20)	85,408 (21)	45,007 (31)	19.5	3.6
State Bank of India	7/7	6,53,744 (28)	1,79,452 (12)	68,138 (20)	19.0	1.9
Kotak Mahindra Bank	16/12	3,52,136 (-3)	33,669 (21)	17,977 (22)	14.9	3.2
Axis Bank	17/17	3,46,095 (23)	51,368 (17)	26,424 (143)	18.5	2.1

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; NII (NET INTEREST INCOME), PAT AND ROE FOR FY24; **P/B** IS PRICE-TO-BOOK; AVERAGE MARKET CAP, NII, AND PAT IN ₹ CRORE; **FIGURES** IN BRACKETS INDICATE YOY CHANGE IN %; **RESULTS** ARE ON A CONSOLIDATED BASIS
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72 | robust compared to their smaller peers, primarily due to better underwriting standards and balanced portfolio composition. “Their market positioning, emphasis on high credit score customers, and stringent credit selection processes significantly mitigate risk. These larger banks have a relatively lower exposure to MFIs and unsecured retail credit, ensuring greater stability during times of economic stress,” he says.

Manish Chowdhury, Head of Research at online trading platform StoxBox, notes that both HDFC Bank and ICICI Bank are navigating challenges posed by a high-interest rate environment, but their strategic focus on asset quality and operational efficiency positions them well for future stability.

Meanwhile, SBI posted a 28% YoY jump in its net profit for Q2FY25 to ₹18,331.4 crore and improvement in asset quality. “The results highlight continuity, consistency and SBI’s significant long-term strengths... Over the years,

SBI has remained focussed on strengthening the key components that contribute to sustainable value not only for the bank but also the economy as a whole. We have prioritised our liability franchise, refined our processes, continued to improve our underwriting standards and aim to deliver value to all stakeholders while positioning ourselves as a reliable financial services brand,” said Chairman C.S. Setty in an analyst call.

“SBI reported a healthy quarter, driven by robust treasury income and steady net interest income... The bank has seen a reduction in its domestic CD ratio to approximately 67.9%. Fresh slippages and credit cost were contained, which underscores the improvement in underwriting standards and enabled further reduction in NPA ratios,” said Motilal Oswal on SBI’s Q2 results.

CHOPPY WATERS

However, it’s not all smooth sailing. The banking industry faces a mis-

match in deposit mobilisation and credit growth, which has been affecting the CD ratio. The CD ratio is an important indicator of a bank’s health, and a high rate indicates it has been aggressive in lending.

Sanjay Agarwal, Senior Director at CareEdge Ratings, says that the biggest issue in the banking sector is the CD ratio, which is more pronounced for private banks. “Deposit growth has been nominal and to balance that out, banks have had to cut down the credit growth. In recent months, banks have been curtailing credit to 50% of that of deposits,” he says.

However, credit and deposits are now generally moving in-line with each other, noted a recent report by CareEdge Ratings. The CD ratio witnessed a marginal sequential uptick of 33 bps reaching 79% for the fortnight ending November 15, 2024, it noted.

Agarwal highlights that the markets in general and regulators are not comfortable with rising growth in unsecured personal